

Benjamin Rohr
Principal, Light Tower Group

Mixed-Use Capital Is Betting on Experience, Not Just Rent

Tuscan Village's latest leasing round reveals a clear signal: capital is flowing to projects that combine experiential retail with residential density. Four new tenants—including Whole Foods and Free People—just signed at this 170-acre development near Boston.

Four New Tenants Sign at Tuscan Village Near Boston

Whole Foods, Free People, a boutique fitness operator, and a local restaurant group have committed to the mixed-use project in Salem, New Hampshire. The development already includes 1,200 residential units and a hotel. Leasing velocity is picking up.

SIGNIFICANCE

Why This Leasing Round Matters for Capital Markets

Mixed-use projects have been a tough sell for lenders post-2022. Tuscan Village's momentum suggests that well-located, amenity-rich developments can still attract anchor tenants-and the financing that follows. It's a signal of where institutional capital is willing to deploy.

The Financing Story Behind the Leasing

Tuscan Village is backed by a mix of private equity and construction debt. The simple version: lenders want to see pre-leasing before they commit. Whole Foods as an anchor gives the capital stack credibility. That makes the next phase of financing easier to arrange.

THE REAL QUESTION

What Problem Is This Development Solving?

The Boston suburbs have a shortage of walkable, mixed-use environments. Tuscan Village is creating a live-work-play destination where none existed. The challenge is execution: delivering on the experience promise while maintaining rent growth and occupancy.

WHO CARES?

Three Perspectives on This Deal

- * Sponsor: Validating the master plan and building leasing momentum
 - * Lender: Seeing pre-leased anchors reduces construction risk
 - * Retailer: Betting on residential density and foot traffic
- Each party has a different timeline, but they all need the same outcome: a functioning, profitable place.

MARKET CONTEXT

This Deal Is Part of a Broader Shift in Retail Real Estate

Capital is moving away from pure retail and toward mixed-use with experiential components. The pattern: grocery anchors, fitness, and national apparel brands want to be where people live. Tuscan Village fits that template. We're watching similar deals in other suburban markets.

What to Watch Next at Tuscan Village

Two signals matter: (1) whether additional residential phases lease up at projected rents, and (2) if the retail tenants hit their sales targets. If both happen, the project becomes a template for similar mixed-use financings. If not, lenders will tighten terms on the next deal.

THE LESSON

Experience-Driven Mixed-Use Is Where Capital Is Flowing

The simple version: tenants and lenders are both voting for places that feel alive. Tuscan Village shows that when you combine residential density with curated retail, the capital markets respond. Light Tower Group helps sponsors and lenders navigate these opportunities. Connect with Benjamin Rohr for capital strategy and placement.